27
F.

FROM TAMSUI TO FOREIGN OFFICE

Cypher/OTP

DEPARTMENTAL DISTRIBUTION

Her Majesty's Consul
No. 47
29th March, 1952.

D: 1.23 p.m. 29th March, 1952.
R: 10.05 a.m. 29th March, 1952.

FJ 10310/66

CONFIDENTIAL

Addressed to Foreign Office telegram No. 47 of 29th March.

Repeated for information to: Tokyo
and Saving to: Singapore Hong Kong.

My telegram No. 42. FJ10310/64

Following is believed to be a substantially correct summary of the present position of the Japanese/Nationalist Chinese Bilateral Treaty negotiations.

2. On 25th March the two delegations reached agreement on all outstanding problems, the solution of the reparations issue being that Japan admitted liability in principle but "China" relinquished claim to fulfilment either in cash, services or supplies of instruments or equipment.

3. The agreed draft was then submitted to both governments for approval. On the Chinese side this was a formality but it is understood that the Japanese have raised objection to civil air navigation rights and most favoured nation clauses. Their counter proposals would place the Nationalist air lines (which include C.A.T. and thus involve American interests) at a disadvantage compared to the Multilateral Treaty Nations operating in Japan.

4. Since solution of the knotty reparations problem should be satisfactory to Japan these new difficulties over comparatively minor issues confirms the impression that the Japanese may be deliberately stalling in order to delay signature of the Bilateral Treaty until after the Multilateral Treaty becomes effective (please see my telegram No. 33).

Foreign Office please pass to Tokyo as my telegram No. 5.

[Repeated to Tokyo].

DISTRIBUTED TO:
China and Korea Department
Japan and Pacific Department
American Department
General Department

31

Reference:
FO 371/99405
PUBLIC RECORD OFFICE
COPYRIGHT - NOT TO BE REPRODUCED PHOTOGRAPHICALLY WITHOUT PERMISSION